Jiawei Hu

CONTACT INFORMATION

Naveen Jindal School of Management
The University of Texas at Dallas
800 W Campbell Road
Richardson, TX 75080

Phone: +1 (469) 592-5012
Email: jiawei.hu@utdallas.edu
Web: http://jiawei-phobos-hu.github.io/academic_page/

EDUCATION

The University of Texas at Dallas — Richardson, TX, USA
PhD candidate in Management Science, Finance — *2020-present*

Northeastern University — Boston, MA, USA
Master of Science, Finance — *2018-2019*

Central University of Finance and Economics — Beijing, China
Joint program with **Victoria University** — Melbourne, Australia
Bachelor of Economics, International Trade and Economics — *2014-2018*
Bachelor of Business, Financial Risk Management — *2014-2018*

RESEARCH INTERESTS

Behavioral Finance, Household Finance, Machine Learning in Finance, Asset Pricing

WORKING PAPERS

Local Gambling Preference and Mortgage Misrepresentation
(Job market paper)
Abstract: During the housing boom preceding the Great Recession, higher household leverage was sometimes achieved through mortgage misrepresentation. This paper explores a large sample of mortgages originated between 2005 and 2007, focusing on the second-lien misreporting. We find that second-lien misreporting is more prevalent in areas with stronger gambling preferences, controlling for other local demographic characteristics and detailed loan and borrower characteristics. We also find that the effect is stronger when borrowers face higher incentives to misreport. In contrast, employing the FICO 620 threshold, we find little evidence that lenders' practices explain the relationship. Finally, we show that the negative performance consequences of second-lien misreporting are amplified in high-gambling-preference areas. We interpret our findings as evidence that borrowers' gambling preferences contributed to excessive household leverage in the years leading up to the financial crisis.

Cumulative Prospect Theory and Stock Returns
(With Jun Li, Feng Zhao)
Abstract: We strengthen the explanatory power of the cumulative prospect theory for cross-sectional stock returns by allowing time-varying probability weights. The shape of the option-implied empirical pricing kernel predicts the time-varying probability weights. Quantitatively, neglecting time variations in probability weights could cost investors up to 28% in annual returns. The additional explanatory power from time-varying probability weights goes beyond existing return predictors and time-varying stock characteristics. We propose a conditional trading strategy with drastically improved performance.

When Gender Disparities Meet Financial Technology in Financial Advisory
(With Xiaolin Wang, Feng Zhao, Zhiqiang (Eric) Zheng)
Abstract: Can financial technology level the playing field for female financial advisors? In the setting of copy trading on a social trading platform, we find that female lead traders attract more investors than male lead traders, controlling for performance, risk, trader characteristics, and country and time fixed effects. This finding is more pronounced among traders engaging in high-risk trading, or in countries with more women participating in the labor force. In the dynamic relation of investor flow responding to traders' performance, we find a more

convex relation between performance and flow for female lead traders in that female traders attract more investors with good performance and lose fewer investors with poor performance than male traders. Additionally, facial attractiveness helps male lead traders but hurts female lead traders in attracting investors. Our findings indicate that investors on the social trading platform are wary of overconfidence from men and prefer confident women as lead traders.

Expected Utility Theory and Prospect Theory in Skewness Preference
Abstract: Based on Barberis et al. (2021) prospect theory asset pricing model, we build a model that incorporates both expected utility theory term and prospect theory term to study skewness preference. The model is used to explain coskewness premium and idiosyncratic skewness premium. As expected, prospect theory term is mainly responsible for idiosyncratic skewness premium. However, we find that although both terms play a role in explaining coskewness premium, the two terms have competing effects.

WORK IN PROGRESS

Heterogeneity in Mortgage Default: Insights from Second-Lien Misreporting
Abstract: This project studies the default behavior of primary-residence mortgage borrowers with simultaneous second liens during the housing boom, comparing those who misreported the lien with those who correctly reported it. Results show that borrowers who misreported are more liquidity-driven in default, while those who reported correctly are more equity-driven. This pattern implies differences in how borrowers value homeownership, highlighting the importance of recognizing such heterogeneity when assessing default risk. To operationalize this insight, I am developing a machine learning-based Liquidity Shock Score that predicts borrower distress out-of-sample, providing lenders with a tool that complements CLTV to better forecast defaults across heterogeneous borrower types.

Extracting Borrower Behavioral Traits from Credit Data: A Machine Learning Approach
Abstract: Using machine learning methods, this project aims to develop borrower-level behavioral trait measures from monthly Equifax credit histories. Drawing on behavioral and household finance literature, I focus on traits such as gambling preference, overconfidence, and present bias. These traits are inferred from patterns in credit use, delinquency dynamics, and responses to local shocks. The traits are then linked to mortgage outcomes to study their role in shaping household financial performance. This work bridges behavioral finance and household finance, and highlights the potential of machine learning to extract behavioral insights from large-scale financial data.

PROFESSIONAL SERVICE

Presentation:

Local Gambling Preference and Mortgage Misrepresentation: FMARC 2025 (doctoral), Boulder Summer Conference 2025 (poster), FMA European 2025 (doctoral; regular), IAFDS 2025 (doctoral), EFMA 2025, FMA Annual 2025 (doctoral upcoming), SFA 2025 (upcoming)
Cumulative Prospect Theory and Stock Returns: FMA European 2023

Discussant:

FMARC 2025 (doctoral), FMA European 2025, IAFDS 2025 (doctoral), EFMA 2025, SFA 2025 (upcoming), FMA European 2023

Session Chair:

FMA Annual 2024

HONORS & AWARDS

GARP Risk Management Award Nomination EFMA, 2025
The Best Research Proposal at the Responsible Use of Generative AI in Research Ideation Workshop IAFDS, 2025
The Maria Strydom Best Presenter IAFDS, 2025
Betty and Gifford Johnson Travel Awards UTD, 2025

UT Dallas Graduate Studies Scholarship UTD, 2020-2025

TEACHING EXPERIENCE

Instructor
- Business Finance (FIN 3320) Summer 2025
- Personal Finance (FIN 3300) Fall 2023, Fall 2024

Teaching Assistant
- Financial Modeling for Investment Analysis (FIN 6353) Spring 2025
- Options and Futures Markets (FIN 4340) Spring 2025
- Personal Finance (FIN 3300) Summer 2024
- Intermediate Financial Management (FIN 4310) Spring 2024
- Business in a Global World (BA1320) Spring 2023, Summer 2023
- Derivatives Markets (FIN 6360) Spring 2023, Spring 2024, Spring 2025
- Applied Econometrics and Time Series Analysis (MECO 6312) Fall 2022

SKILLS

Computer skills: Stata, SAS, Matlab, R, Python, Mathematica, LaTeX
Certification: Graduate Teaching Certificate (The University of Texas at Dallas)
Qualification: Passed CFA Exam Level II
Languages: English, Mandarin

REFERENCES

Feng Zhao (Dissertation Chair)
Professor, Finance and Managerial Economics
Naveen Jindal School of Management
The University of Texas at Dallas
Email: feng.zhao@utdallas.edu
Phone: (972) 883-5815

Jun Li
Associate Professor, Finance and Managerial Economics
Naveen Jindal School of Management
The University of Texas at Dallas
Email: jun.li3@utdallas.edu
Phone: (972) 883-4422

Han Xia
Professor, Finance and Managerial Economics
Naveen Jindal School of Management
The University of Texas at Dallas
Email: han.xia@utdallas.edu
Phone: (972) 883-6385

Umit Gurun
Stan Liebowitz Professor
Professor, Accounting
Naveen Jindal School of Management
The University of Texas at Dallas
Email: umit.gurun@utdallas.edu
Phone: (972) 883-5917

Kelsey Wei
Associate Professor, Finance and Managerial Economics
Naveen Jindal School of Management
The University of Texas at Dallas
Email: kelsey.wei@utdallas.edu
Phone: (972) 883-5978